

LIKELY SITUATION AND STRATEGIES

The estimates on extreme poverty show that it varies from 4.9% in 2023-24 (based on the Rangarajan Committee's methodology) and 2.3% in 2022-23 (based on the World Bank's \$2.15 per day). Extreme poverty can be eliminated soon in India. If we use \$3.65 per day poverty line of low-middle income countries India's poverty ratio line is around 28% in 2022-23. If we assume the same annual rate of decline in the

capita GDP of \$18220 to become a developed nation by 2047, the centenary year of Independence. The two main engines of growth are exports as well as private sector investment. Achieving quantity and quality employment is also crucial for eliminating poverty. India's fast growing young workforce is another advantage which few countries enjoy in today's world. This alone can help India leapfrog to a high growth trajectory with good quality education and skilling opportunities

share of GVCs is lower now, the government is following appropriate policies to enhance India's role and integrate with GVCs. The creation of quantity and quality of employment is the most important element of inclusive growth. Some studies have shown that investing in labour intensive manufacturing and services and rise in formal skilling can raise employment quantity and quality significantly. The recently announced employment linked incentive (ELI) scheme will also boost jobs. There has been significant push to MSME sector which contributes large employment. MSME is the second biggest employer after agriculture. Second, access to good health and education are essential for improving human capital. Another source of growth and quality employment is the use of digital technology.

Finally, sustainability and tackling climate change are also important for reducing poverty. On sustainability, India's vision is to have a balance in achieving higher growth along with low-carbon emissions and environmental sustainability. It is known that India's climate efforts are anchored in its commitment to achieve net-zero emissions by 2070. Another important initiative by India is Life Style for Environment (LiFE), which is a powerful one for achieving sustainable development.

Economic growth is needed but inclusion and sustainability are equally important to reduce poverty and improve the levels of living. By the centenary year of Independence 2047, the task of India is to build on the achievements so far and move towards a society that is not only prosperous but also equitable and pro-nature. **BT**

Views are personal

The two main engines of growth are exports and private sector investment. Achieving quantity and quality employment is also crucial for eliminating poverty

future, India should eliminate poverty in the next ten years based on the poverty line of \$3.65 per day.

According to a discussion paper of the NITI Aayog (2025), India has registered a significant decline in multidimensional poverty in India from 29.17% in 2013-14 to 11.28% in 2022-23, i.e. a reduction of 17.89 percentage points. At the present rate of progress, multidimensional poverty is likely to be eliminated by 2030. There is a need to focus on some of the SDGs which are not on track in the next two decades.

Income poverty and multidimensional poverty are determined by factors such as GDP growth, inflation, employment, physical infrastructure, health, education and inequalities. India aspires to achieve GDP of \$30 trillion and per

as well as meaningful employment options to absorb the youth.

There are two long-term structural factors that have to be solved by the centenary year. First, one of the long standing challenges facing the Indian economy is structural transformation in agriculture, industry and services. Agriculture is still the largest employer at 46%. In the larger context, the structural transformation of the economy from agriculture towards manufacturing and services sectors can be of critical importance when it comes to generating employment opportunities. India can benefit from the trends in global industrial diversification, supply chain restructuring and China+1 strategy. India can lead the new flying geese for global value chains (GVCs). Although the